

Supplement to Agenda Item 2

Note to IAASB:

- A revised paragraph 10 is included, shown with marked changes from Monday's discussion
- Paragraphs 13–13D are central to the IAASB's discussions as they represent the core of the work effort requirements. These paragraphs have been redrafted to have:
 - o A principles based requirement (paragraph 13) that sets the expectations for the auditor's response to the identified and assessed risks, and which draws the link to paragraph 10.
 - o More detailed requirements (paragraph 13A–C) that specific high-level procedures that are responsive to specific risk factors from paragraph 10. These procedures will be supported by application material to show how specific risks can be responded to by specific procedures. The application material will also show how the procedures can be scaled to different levels of risk.
 - o A requirement that admits the possibility that there may be a procedure that is more responsive to the risk of material misstatement than those specified in 13A–C but the auditor is not required to search for such procedures.
 - o A final requirement that requires a response to the risks not covered by 13A–C, including risks where estimation uncertainty, complexity and the use of judgement by management is low.

Due to the volume of changes, the work effort paragraphs are not shown with marked changes.

- There will be further discussions in the Task Force about the level of granularity of the description of the risks and procedures in paragraph 13A–C. In particular, the Task Force is exploring different ways of reducing the repetition in paragraphs 13A–C, which is likely to include combining them into a single requirement with several sub-requirements. Some procedures have been provided in paragraphs 13A–C to show how the link is being drawn between the three risk factors in paragraph 10 and the work effort requirements, but further procedures need to be added after further Task Force deliberation.
- The Task Force also needs to further consider whether specific procedures may be required in relation to controls or models.
- Paragraphs in grey are provided for context but have not been discussed by the Task Force.

Identifying and Assessing the Risks of Material Misstatement

10. In applying ISA 315 (Revised), ~~in relation to accounting estimates~~, the auditor is required to identify and assess the risks of material misstatement, at the financial statement and assertion levels, including determining whether any of the risks identified are, in the auditor's judgment, significant risks. In ~~doing so, the auditor shall consider~~ relation to an accounting estimate, inherent and control risk and the auditor shall take into account ~~consideration of~~ relevant risk factors, including the extent to which the accounting estimate is subject to, or affected by: (Ref: Para. A44I–A46D)

- (a) ~~The accounting estimates are subject to E~~estimation uncertainty, including the sensitivity of the accounting estimate to the use of particular data, assumptions ~~s~~and methods; (Ref: Para. A46E–A49A)
- (b) ~~Making the accounting estimates is impacted by C~~complexity in making the accounting estimate, including:
 - (i) The extent to which the method used to make an accounting estimate includes the use of large volumes of data, ~~or~~ complex models, assumptions or IT systems; (Ref: Para. A49B)
 - (ii) The difficulty in obtaining relevant and reliable data, including data from sources from outside the general and subsidiary ledgers and external sources; or (Ref: Para. A49C)
 - (iii) The extent to which it is difficult to understand or interpret data, including application of complex legal or contractual terms. (Ref: Para. A49D)
- (c) ~~The use of judgment by management in m~~Making the accounting estimate ~~depends on the use of management judgment~~, including in the identification and selection of appropriate methods and assumptions and of relevant and reliable data sources. (Ref: Para. A49E–A49F)

~~10A As part of the identification and assessment of the risks of material misstatement, taking account of the factors described in paragraph 10, the auditor shall determine which of the identified risks are assessed, in the auditor's judgment, as being of lower risk. (Ref: Para A49G)~~

A44L ISA 200 explains that the risk of material misstatement at the assertion level consists of two components: inherent risk and control risk, which can either be assessed separately or in combination. As control risk is a function of the effectiveness of the design, implementation and maintenance of the entity's internal control by management, obtaining an understanding of internal control assists the auditor in identifying areas of the financial statements that may be subject to potential misstatement and relevant risk factors that may give rise to potential risks of material misstatement related to accounting estimates.

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Responses to the Assessed Risks of Material Misstatement

- 11A. In responding to the assessed risks of material misstatement in accordance with paragraphs 12–13C, the auditor shall consider whether specialized skills or knowledge are required in order to obtain sufficient appropriate audit evidence. (Ref: Para. A44C–A44H)
- 12. In respondingse to the assessed risks of material misstatement, the auditor shall: (Ref: Para. A52–A52A)
 - (a) Determine whether management's method has appropriately applieds the requirements of the applicable financial reporting framework relevant to the accounting estimate; and (Ref: Para. A53–A56)
 - (b) Determine whether management's method for making the accounting estimate are–is appropriate and have has been applied consistently, and whether changes, if any, in accounting

estimates or in the method for making them from the prior period are appropriate in the circumstances. (Ref: Para. A57–A58)

[A clean version is provided from here on due to the complexity of the marked changes]

13. When the auditor's assessment of the risks of material misstatement (see paragraph 10), indicates that the extent to which the accounting estimate is subject to, or affected by, estimation uncertainty, complexity, or the use of judgment by management (or other relevant risk factor) in making the accounting estimate is other than low, the auditor shall design and perform procedures to respond to the assessed risk of material misstatement that specifically address the factors giving rise to that risk. The nature, timing and extent of procedures to be performed shall be responsive to the assessed risks of material misstatement, recognizing that the higher the risk, the more persuasive the audit evidence needed. (Ref: Para. A67B–67C)

AX1. In responding, as required by ISA 330, to the risks of material misstatement related to a particular accounting estimate, the auditor may determine that an overall response is responsive to more than one risk of material misstatement, for example:

- Obtaining audit evidence about events occurring up to the date of the auditor's report; or
- Developing a point estimate or range to evaluate management's point estimate

[Further explanation and examples to be added if appropriate].

AX2. [Application material to highlight that there may be another relevant risk factor as paragraph 10 is not all inclusive].

- 13A. In designing and performing further audit procedures in accordance with paragraph 13, when the auditor has identified a risk of material misstatement related to estimation uncertainty, the auditor shall, unless paragraph 13D applies:

(a) [Procedure to be developed - e.g., evaluate the adequacy of disclosures]

AX3. [Application material to draw the link back to data, assumptions and method and elaborate on examples of specific procedures that may be responsive to the potential risks of material misstatement identified in accordance with paragraph 10 related to those matters.]

- 13B. In designing and performing further audit procedures in accordance with paragraph 13, when the auditor has identified a risk of material misstatement related to complexity in making the accounting estimate, the auditor shall, unless paragraph 13D applies:

- (a) Evaluate whether the application of the method implemented by management, taking into account the complexity of systems, transactions or other considerations, appropriately applies the requirements of the applicable financial reporting framework relevant to the accounting estimate;
- (b) ...

AX4. [Application material to draw the link back to data, assumptions and method and elaborate on examples of specific procedures that may be responsive to the potential risks of material misstatement identified in accordance with paragraph 10 related to those matters.]

13C. In designing and performing further audit procedures in accordance with paragraph 13, when the auditor has identified a risk of material misstatement related to the use of judgement by management in making the accounting estimate, the auditor shall, unless paragraph 13D applies:

(a) Evaluate management's judgment in selecting or developing the assumptions or data, or in selecting a method for making the accounting estimate, including whether management's judgment does not take account of reasonably possible alternatives or does not appropriately apply the requirements of the applicable financial reporting framework;

(b) ...

AX5. [Application material to draw the link back to data, assumptions and method and elaborate on examples of specific procedures that may be responsive to the potential risks of material misstatement identified in accordance with paragraph 10 related to those matters.]

13D. If a procedure is, in the auditor's professional judgment, more responsive to the assessed risk than the procedures required by paragraphs 13A–13C, the auditor shall consider whether to perform that procedure instead of the procedures required by paragraph 13A–13C.

15A. The auditor shall evaluate whether audit procedures need to be performed to respond the risks of material misstatement relating to the accounting estimate: (Ref: Para AX1)

(a) That have not been sufficiently addressed by the procedures performed in accordance with paragraph 13A–13D, including in relation to other relevant risk factors (see paragraph 10); ~~or-~~

(b) That relate to risks of material misstatement when the extent of estimation uncertainty, complexity, or the use of judgment by management involved in making the estimate is low.

Further Substantive Procedures to Respond to Significant Risks

Estimation Uncertainty

16. If, in the auditor's judgment, management has not adequately addressed the effects of estimation uncertainty on the accounting estimates that give rise to significant risks, the auditor shall, if considered necessary, develop a range with which to evaluate the reasonableness of the accounting estimate. (Ref: Para. A111–A112)

Conclusion on Sufficiency and Appropriateness of the Audit Evidence

16A. For an accounting estimate where the extent of estimation uncertainty, complexity, or judgment (or other relevant risk factors) involved in making the estimate is other than low, the auditor shall conclude whether sufficient appropriate audit evidence has been obtained regarding the assessed risks of material misstatement. In making this conclusion, the auditor shall take into account all relevant audit evidence, whether corroborative or contradictory. If the auditor has not obtained

sufficient appropriate audit evidence, the auditor shall attempt to obtain further audit evidence by performing additional audit procedures. (Ref: Para A109a)